Failure of Economic Statecraft Against Hybrid Actors in the MENA Region

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I. Introduction

The reliance on economic statecraft has long been a staple of Western foreign policy, with sanctions and arms embargoes serving as the primary non-kinetic tool to deter hostile actors. Before discussing the failure of these measures however, one must understand the logic that sustained them for so long: the belief that when economic deprivation will compel a rational actor to alter their behaviour to avoid further cost (Hufbauer, Schott, & Elliott, 2007), fending off possible offenders from participating in similar activities. Historical cases suggest that the conventional application of sanctions often failed for a variety of reasons, ranging from a lack of cooperation from sanctioning states (Jentleson, 2022) to stubborn leadership that views concessions as a loss of reputation (Drezner, 1999), and alternative sources of income, but sanctions remained as the primary deterrence as other methods were too passive to be effective or carried the risk of military escalation.

When we arrive at the question of the modern security landscape however, we see a new paradigm, where sanctions fail not because of flawed execution or target behaviours, but because hostile actors have adapted to the liberal international order, creating their own insulated economies that external effects cannot feasibly damage. While it is true that most Cold War-era groups in the Middle East and North Africa (MENA) regions, such as the Islamic State of Iraq and Syria (ISIS) and al-Qaeda (AQ) have been considerably weakened, the systemic decline of such groups was not an effect of economic statecraft. The two groups that still maintain relative strength, Hezbollah and the Houthis, remain not because of economic and political support from its sponsors, but because they have evolved into modernised, hybrid structure actors that aim to overtake the local government as the leading state-level regional power.

For over two decades, despite being the most heavily sanctioned entities on Earth, Hezbollah and the Houthis have managed to expand their arsenals and project regional power until their gradual decline starting late 2024. Sanctions did not achieve any major level of operational degradation in Hezbollah's activities against Israel, nor did they stop Houthi attacks in the Red Sea. Rather, it was the surgical paramilitary operations, political degradation of state-level sponsors, and the economic rejection from former allies that is threatening the survival of these groups.

II. Literature Review

The existing studies on sanctions effectiveness generally split between two schools, neither of which properly accounts for the unique structure of modern hybrid actors.

The "Pain-Gain" model, led by Hufbauer, Schott, and Elliot (2007), posits that sanctions succeed when economic costs force the target to comply. This model assumes that the target is a "rational state" that would concern itself with its GDP and public welfare. Under this assumption, economic pain leads to political pressure, forcing the government to comply to save its economy. However, this framework disintegrates when applied to ideological non-state actors. In this instance, core security interests are rarely conceded due to economic pain (Pape, 1997). For hybrid actors like the Houthis, economic pain is merely used as a rallying tool for the civilian population against "foreign aggression."

The "Authoritarian Resilience" model, led by Peksen (2011) and Drezner (1999), focuses on how autocratic regimes survive sanctions. They argue that dictators, through control over the state's logistical hub, can redistribute exposed resources to their inner circles, using the general population as an insulative shield (Peksen, 2011). This is seen as the most common reason sanctions against aggressive terror sponsor states fail, especially seen from the Saddam Hussein regime and the Assad regime (Drezner, 1999). However, this framework fails to explain the cases in which a subsection of the state can feed off the weakened government and expand its internal proxy networks.

The core gap in current literature is that it treats terrorist financing and state sanctions as separate disciplines. There is extensive documentation of how groups like Hezbollah launder money (Levitt, 2013), but these are often framed as individual tactical deviations rather than structural adaptations to economic statecraft. There is also a theoretical gap regarding how sanctions on host states strengthen the parasite, projecting a disconnect between state and group-level events.

To answer the question of how these groups survive, this paper proposes the theory of "Parasitic Resilience," suggesting that when conventional sanctions weaken the host state's formal economy, they destabilise the legitimate middle class, granting advantages to illicit paramilitary actors. These actors utilise extreme wealth and military force to monopolise the black market, and with no other safe or stable platform to interact economically, the general population turns to this black market. In this scenario, I argue that sanctions do not degrade the target, instead destroying the host and leaving the target as the sole controller of public goods.

III. Research Design

This research argues that modern sanctions regimes are structurally ineffective in achieving operational degradation of Hybrid Actors, groups capable of utilising their paramilitary, economical, and political functions to perform as a state-level entity. Instead of choking them into submission, sanctions merely pressure such groups into decoupling from vulnerable international institutions and forming successful illicit networks.

1. Hypotheses

This paper tests two primary hypotheses. First, that sanctions completely fail to achieve operational degradation against Hezbollah and the Houthis, as their attack frequency and intensity are not affected. Second, that sanctions actively encourage the expansion of illicit criminal networks, as groups abandon state sponsorship and focus on self-generated revenue. By comparing the offshore model of Hezbollah and the onshore model of the Houthis, this research aims to highlight the obsolescence of traditional economic counterterrorism strategies. Furthermore, this research calls for the creation of a more refined measure to counter similarly modernised groups rising in the West African and Sahel regions, in order to prevent a new generation of sanction-proof non-state actors.

To test the hypothesis of Parasitic Resilience, I utilise a comparative analysis of two primary cases: Hezbollah in Lebanon and the Houthis (Ansar-Allah) in Yemen. These cases are chosen due to their two distinct evolutionary paths of sanction-proofing.

Hezbollah represents the "Offshore Model," where the group persists by integrating into global illicit markets and creating a parallel banking system to bypass the host state's financial collapse. This case looks at the Captagon and cocaine trafficking networks in the Middle East and South America and the Al-Qard Al-Hasan (AQAH) banking system.

The Houthis represent the "Onshore Model," where the group persists by capturing the host state's preexisting revenue streams such as ports and taxes, effectively becoming the state itself. This case looks at port fees, strait customs, telecom revenues, and the increasing pressure from regional rivals.

2. Variables and Data

The Independent Variable (IV) is the sanctions regime. The Dependent Variables (DV) are operational tempo and revenue diversification. The data is drawn from official international sources such as the United Nations Panel of Experts on Yemen, the United States Treasury Department (OFAC), the Washington Institute, Center for Strategic and International Studies (CSIS), and Armed Conflict Location and Event Data Service (ACLED).

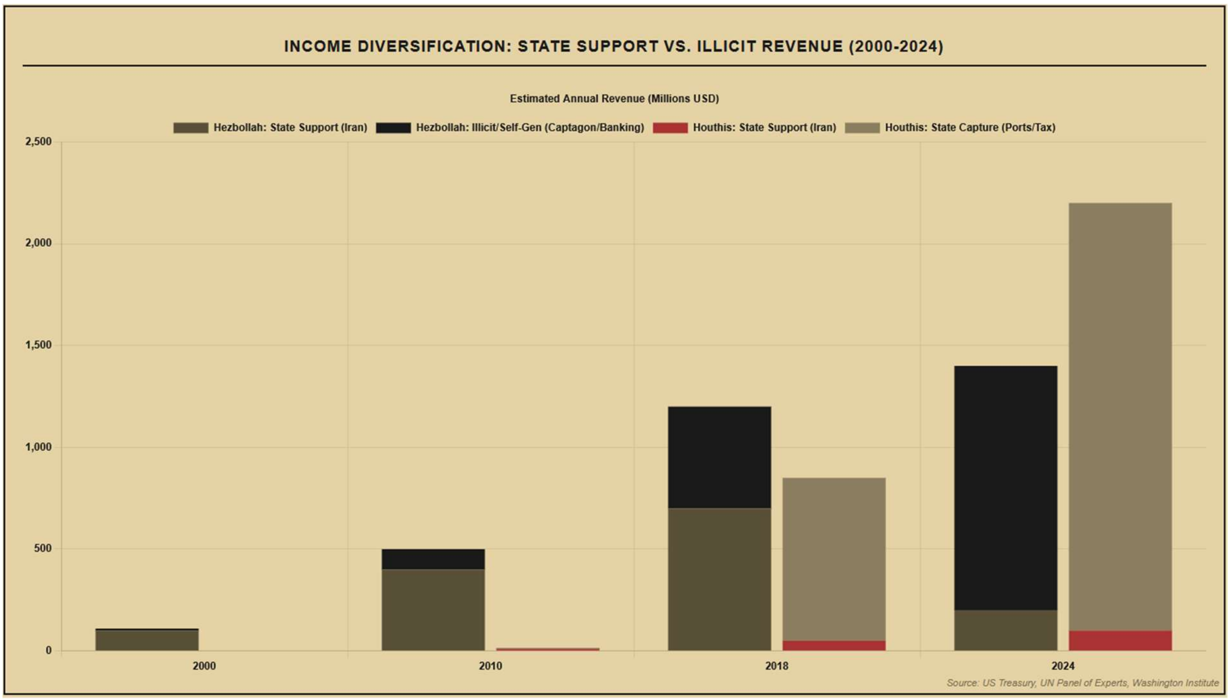

Figure 1. Income Diversification

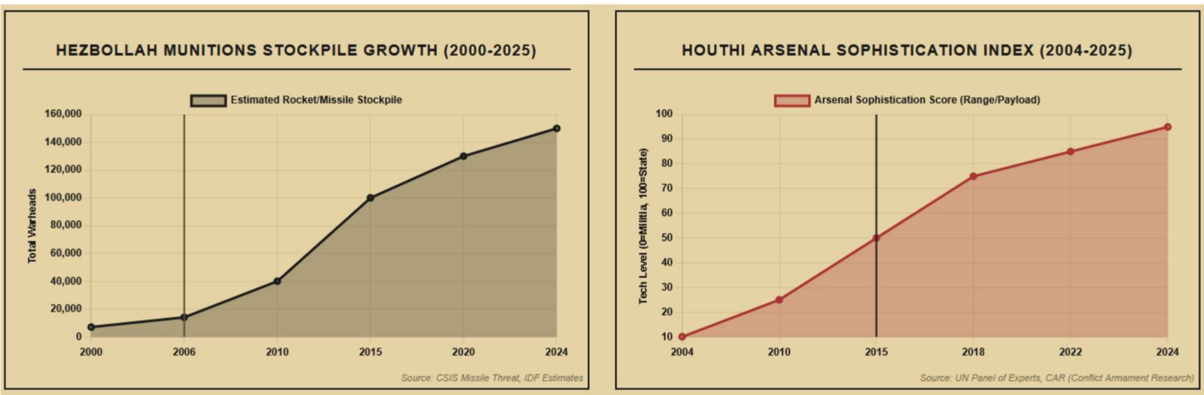

Figure 2. Munition Stockpile Growth

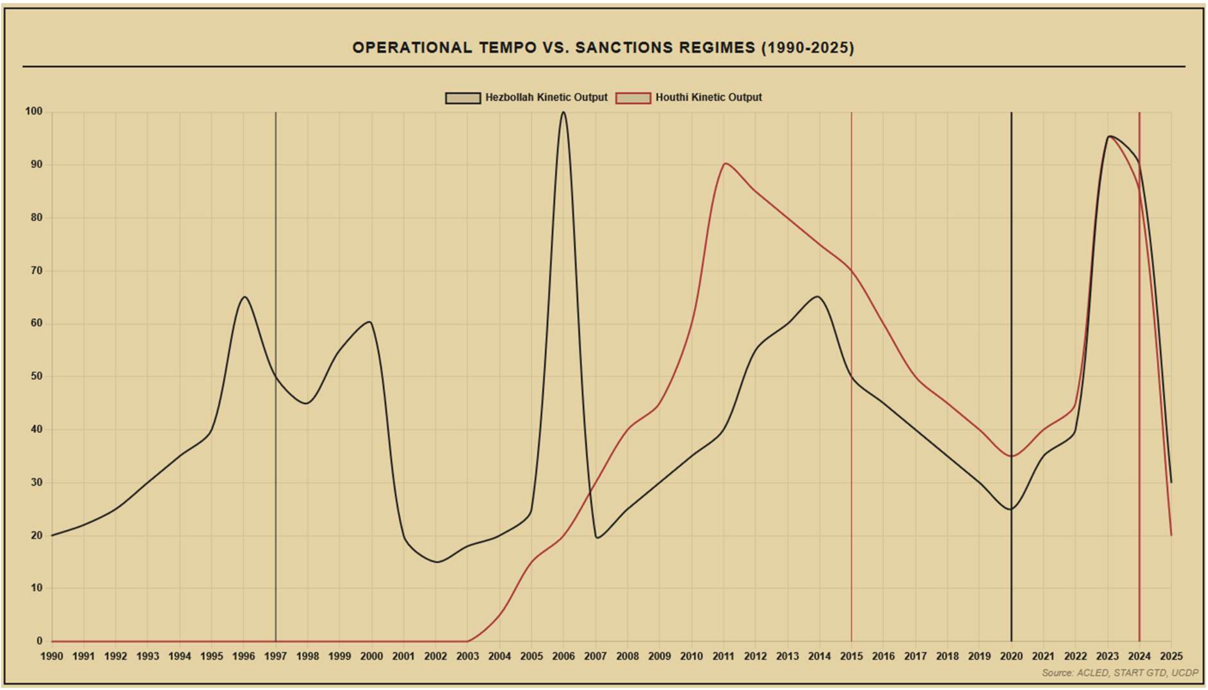

Figure 3. Operational Tempo vs. Sanctions: vertical lines indicate sanctions to each group; escalation scores are measured relatively in accordance to volume, threat, and consistency of attacks.

IV. Case Study 1: Hezbollah and the Offshore Model

Following the US withdrawal from the Joint Comprehensive Plan of Action (JCPOA) in 2018, Hezbollah's ability to maintain its operational capacity was tested as Iran's funding to the group got sharply cut from the originally surmountable $700 million USD (US State Dept, 2018) annually. It is important to note that while the JCPOA era provided Iran with liquid cash, it did not lead to a reduction in proxy funding as hoped; rather, it stabilised the flow, making the 2018 cut more shocking. This shock was compounded by the Lebanese Lira crash of 2019, which led to the currency losing over 90% of its value (World Bank, 2021). According to the Pain-Gain model, this sequence of economic devastations should have choked Hezbollah's ability to raise any significant force, but this was not the case.

1. Hezbollah Adaptation

Rather than capitulating, Hezbollah rapidly adapted to the new status quo, shifting from a state-subsidised model to a transnational criminal enterprise. As illustrated in **Figure 1 (Income Diversification),** this adaptation occurred in two primary vectors. First, AQAH. Hezbollah increased the movement of its illicit finance through their central banking system, which operates outside of the SWIFT network and effectively immunises the group's finances from US banking sanctions. The SpiderZ hack in 2020 revealed that AQAH held nearly $500 million in deposits and had issued over $3.5 billion in loans, functioning as a gold-backed cash economy immune to the Lira's hyperinflation. When the Lebanese banking sector froze depositor accounts, AQAH maintained liquidity, drawing in users from the Shia community affected by these sanctions. This created a cycle where pressure on Lebanese banks drove the general population back into the influence of the sanctioned entity (US Treasury, 2021).

Second, the industrialization of drug trafficking. Hezbollah streamlined the Captagon production and distribution process along the Syrian-Lebanese border. By 2023, this industry alone generated an estimated $1 billion in net revenue for the group annually (New Lines Institute, 2022), allowing them to be entirely independent of Iranian sponsor funds. Hezbollah also capitalises on South American drug rings in the Tri-Border Area, assisting cartels in evading crackdowns by providing security on cocaine operations and laundering an estimated $300-$500 million annually through trade-based schemes (US Southern Command, 2022). Through these means, they are effectively shielded from financial strains put on Iran and Syria.

2. Deterrence Failure Against Hezbollah

The failure of sanctions against Hezbollah was demonstrated in the 2023-2024 conflict against Israel. Despite decades of severe sanctions, Hezbollah expanded its arsenal to an estimated 150,000 rockets, including advanced "Burkan" heavy rockets and anti tank guided missile systems (CSIS, 2024). The group's ability to sustain high-intensity strikes against northern Israel throughout 2024 proved that financial isolation did not equate to military degradation. The eventual decline in such capability came not as a result of economic statecraft, but of kinetic decapitation and the loss of its political allies. Furthermore, the strengthening of the Lebanese Armed Forces (LAF) with US aid has begun to challenge Hezbollah's narrative as the sole defender of Lebanon, forcing a political pivot where the group increasingly seeks to present itself as a legitimate political party rather than a radical Islamist militia to maintain survival.

3. Case Study 2: The Houthis and the Onshore Model

The Houthis were targeted by severe sanctions and blockades through UN Resolution 2216 (2015). Their primary regional rival, Saudia Arabia, emplaced strict inspections on imports, attempting to cut the group off from arms trades. Additionally, the Central Bank of Yemen was relocated to Aden to deny the Houthis access to state foreign reserves (Sana'a Center, 2017).

4. Houthis Adaptation

Unlike Hezbollah, the Houthis focused on seizing and controlling the previously state-controlled income systems. As detailed in **Figure 1,** by controlling the Hodeidah port, the entry point for 70% of Yemen's food and fuel, the Houthis monetised the humanitarian crisis. The annual income from customs duties and transit fees exceeded $1.8 billion USD in 2023 (UN Panel of Experts, S/2024/85), and this continues to increase as other sea-based entry points remain dangerous and costly.

In 2020, the Houthis introduced the "Khums" tax, which grants 20% of all Yemen-born natural resource wealth for the "Ahl al-Bayt" (Hashemite elites). Disguised as a religious tax, this predatory system enabled the group to legally feed on the country's economy, effectively using the general population as an economic insulation (Sana'a Center, 2020). They also extracted over $100 million annually from the telecom sector by taxing Sana'a-based mobile networks (UN Panel of Experts, S/2023/130).

5. Deterrence Failure Against Houthis

In the Houthis' case, the failure of sanctions was displayed by the increase in attack frequency during the Red Sea crisis of 2023 to 2024. As shown in **Figure 2. Munitions Stockpile Growth,** despite facing multiple designations, including the Specially Designated Global Terrorist (SDGT) relisting in 2024, the group launched over 190 maritime denial operations that disrupted global trade (ACLED, 2024). Utilising cheap one-way attack drones (Samad-3) and outdated anti-ship missiles to intercept multi-billion dollar shipment networks proved to be incredibly effective, allowing the Houthis to sustain this campaign for just a fraction of their monthly port revenue. Their eventual degradation only came as a result of multiple US-aligned kinetic strikes against military infrastructure. Similar to Hezbollah, the Houthis have also pulled back from purely radical Islamist rhetoric, increasingly positioning themselves as the legitimate state representative of Yemen in dealings with foreign actors like China and Russia to secure political cover.

6. Comparative Analysis

While both groups successfully defeated sanctions, they did so through distinct mechanisms. Hezbollah adopted an Offshore model, relying on the agility of global illicit networks. While harder to completely disable as a single body, this opened more vulnerabilities in the form of regional enforcement bodies (DEA, Europol), especially in South America. The intention to capitalise on this vulnerability in the form of attempted revival of the 3+1 Group and seeking higher cooperation from regional enforcement units failed however due to local corruption and untraceable underground movements. As for the

Houthis and their Onshore model, a complete control of state infrastructure allowed them to freely utilise vast amounts of assets, but being tied down in the region means that if the physical territories are overrun, their powers disintegrate along with them, a growing risk in their current conflict against the Saudi-UAE controlled groups in the region.

Both cases demonstrate the counter-productive nature of sanctions targeting the host or sponsor state economy. The Lebanese Lira crash destroyed the middle class, leaving the illicit markets run by Hezbollah the only feasible option (World Bank, 2021). In Yemen, the losses from economic sanctions could be easily made back from Hodeidah Port control. In both instances, sanctions destroyed the legitimate domestic competition, leaving the parasitic hybrid as the dominant economic actor.

The success of these models is now influencing other groups. In the Sahel, Jama'at Nusrat al-Islam wal-Muslimin (JNIM) is utilising the Houthi's strategy of capturing roads and taxing logistics to generate significant illicit revenue. Local branches of IS, AQ, as well as central African groups such as the M23 are moving to create their own states and internal borders, disrupting the effects pipeline of international economic statecraft. This suggests a dangerous trend where non-state actors are evolving into sanction-proof proto states, rendering traditional statecraft obsolete.

V. Conclusion

The trajectory of Hezbollah and the Houthi movement between 1990 and 2025 offers a stark rebuttal to the prevailing neoliberal confidence in economic statecraft. The international community has operated under the assumption that financial isolation was a reasonable substitute for kinetic engagement, that if the state-level sponsors could be pressured, their proxies would wither. This research demonstrates that such assumptions are not only outdated but could be dangerous when applied to modern Hybrid Actors.

The eventual degradation of Hezbollah and the Houthis in late 2025 was not achieved by bankers, but by soldiers. It required the repeated decapitation of leadership entities and saturation attacks to achieve what twenty years of economic statecraft could not. This finding serves as a critical warning for future conflicts against groups like JNIM and M23. While once moderately useful against conventional state actors, the continued usage of conventional economic tactics will only serve to destabilise the host states and allow the actual offenders to adapt. The era of passive financial warfare is over; money is no longer a vulnerability to exploit, but a weapon that the entire world has learnt to use.

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